

Hannover Re grows premium volume despite highly competitive market environment and generates Group net income of EUR 2.6 billion in 2025

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Hannover Re grows premium volume despite highly competitive market environment and generates Group net income of EUR 2.6 billion in 2025

Premium growth of 3.3% in the renewals of traditional property and casualty reinsurance as at 1 January 2026; average risk-adjusted price decline of 3.2%

Largely stable terms and conditions support continued high quality of the business written

Preliminary Group net income for 2025 of EUR 2.6 billion in line with expectations

Guidance for 2026 confirmed: Group net income of at least EUR 2.7 billion

Hannover, 5 February 2026: Hannover Re increased the premium income in traditional property and casualty reinsurance by 3.3% in the treaty renewals as at 1 January 2026. With the quality of the renewed business still good overall, an average risk-adjusted price decline of 3.2% was recorded.

“We booked profitable growth in a highly competitive market environment in the renewals at the start of the year. Our strong market position, long-standing and partnership-focused client relationships, as well as cost advantages were crucial factors. We were able to partially offset more significant price reductions in certain lines within our overall portfolio thanks to our broad positioning. In areas where business is profitable, we were able to add to our market shares. The quality of our written portfolio remains on a good level overall.”

Clemens Jungsthöfel,
Chief Executive Officer

Based on preliminary unaudited financials, Group net income in the 2025 financial year grew to EUR 2.64 billion (EUR 2.33 billion). Hannover Re thus achieved its earnings target, which it had raised to around EUR 2.6 billion in the fourth quarter of 2025.

Further premium growth in the 1 January renewals

Treaties with a premium volume of EUR 10,196 million were up for renewal on 1 January 2026. This corresponds to 61% of business in traditional property and casualty reinsurance (excluding facultative reinsurance, ILS business and structured reinsurance).

Hannover Re renewed treaties with a volume of EUR 9,369 million, while treaties worth EUR 827 million were cancelled. Together with EUR 1,165 million from new and restructured treaties and from changes in prices and treaty shares, the total renewed premium volume grew by 3.3% to EUR 10,535 million.

“While treaty terms and conditions remained largely stable, price declines were more pronounced than anticipated – especially in highly competitive lines and for contracts with a moderate loss experience,” said Sven Althoff, a member of Hannover Re’s Executive Board with responsibility for property and casualty reinsurance. “The price level is nevertheless above the multi-year average and remains commensurate with the risks. We therefore continued to profitably grow our portfolio by strengthening existing client relationships and developing new ones. Proportional programmes benefited from the growth of our clients’ underlying business. We also further improved our own retrocession protection.”

Regional markets: Continued strong positioning in the various markets

The premium volume in the Americas grew by 6.5%. More than half the business will be renewed over the remainder of 2026. In the United States, the volume in property business was stable. Even though prices declined, they were still on a risk-adequate level. US casualty insurance offered selective opportunities for growth against a backdrop of generally stable prices. In Canada, the stable picture coming out of the renewals reflected a continued strong competitive position.

The premium volume in the region Europe, Middle East and Africa was virtually unchanged year-on-year with growth of 0.4%. A good level of profitability was main

tained despite intense competition, especially in business with natural catastrophe covers. The region offered a wide range of growth opportunities, although these were partially curtailed as individual clients – especially in Germany – carried higher retentions. Renewals were predominantly price-driven, with treaty structures remaining largely unchanged.

The premium volume in the Asia-Pacific region increased by a modest 1.9%. Initial indications of a broadening in terms and conditions could also be observed in a challenging market landscape characterised by intense competition. Business with unexpectedly low prices or poorer terms and conditions was deliberately not renewed in some instances. Despite this, Hannover Re was able to keep its profitable portfolio stable overall. Parts of Southeast Asia saw a particularly notable surge in demand for natural catastrophe cover in markets hard hit by losses.

Specialty lines: Sustained good quality of the business written

In specialty lines, encompassing facultative reinsurance, credit, surety and political risks, aviation and marine reinsurance, agricultural risks as well as cyber and digital business, the premium volume grew by 5.8% in a highly competitive market environment.

The credit, surety and political risks lines benefited from a continued attractive market landscape and delivered double-digit growth. In aviation and marine reinsurance, on the other hand, a more disciplined underwriting policy led to a reduction in volume. Rate increases were recorded for non-proportional covers in a aviation business, although prices remained largely stable overall, whereas in marine business the pressure on rates as well as terms and conditions was higher than anticipated. Agricultural business continued to expand in core markets such as Brazil and the United States, with the rate quality remaining unchanged. In the digital and cyber segments, the company maintained its market shares and opened up new business.

An oversupply of capacity, combined with higher retentions carried by clients, led to price declines in facultative reinsurance, especially in property business. Based on risk-adequate prices, it was nevertheless possible to successfully renew large parts of the portfolio and also write new treaties.

In natural catastrophe business, the abundant capacity available in the market resulted in more intensive competition and risk-adjusted rate reductions of 10% to 20%, both in international markets and in the United States. However, prices still remained adequate on the whole. The successful launch of Hannover Re Capital Partners served to strengthen cooperation with the capital market in the area of natural catastrophe covers.

Demand for structured reinsurance continued to develop very favourably. Despite increased competition, the vast majority of contracts were renewed and new treaty relationships established. Key success factors here were close cooperation with the various underwriting teams and long-standing marketing efforts. Overall, though, a reduced premium volume is anticipated owing to lower cessions under individual large contracts.

Preliminary key figures for the full 2025 financial year

Based on preliminary unaudited financials, Hannover Re generated reinsurance revenue of EUR 26.8 billion (EUR 26.4 billion) in the 2025 financial year.

The operating profit (EBIT) amounted to EUR 3.5 billion (EUR 3.3 billion). Property and casualty reinsurance contributed EUR 2.6 billion (EUR 2.4 billion) to the operating result, while life and health reinsurance accounted for a share of EUR 0.9 billion (EUR 0.9 billion).

The pleasingly strong underwriting result in property and casualty reinsurance made it possible also in the fourth quarter to further increase the resilience in the loss reserves and at the same time to realise hidden losses in the investment portfolio. Group net income increased to EUR 2.64 billion (EUR 2.33 billion).

Hannover Re thus achieved its earnings target, which it had raised to around EUR 2.6 billion in the fourth quarter.

Guidance for 2026 confirmed

“With the January renewals behind us and following a successful 2025, we are looking ahead with confidence. Even in the face of increasing competition, our careful planning and strong market position consistently open up additional profitable opportunities for growth,” said Clemens Jungsthöfel. “Thanks to our conservative reserving in property and casualty reinsurance and the active

realisation of losses in our investments, we have laid the foundation for achieving further sustained earnings growth over the coming years.”
As already announced in November, Hannover Re expects Group net income for the 2026 financial year of at least EUR 2.7 billion, an increase of 12.5% compared to the previous year’s original forecast.
Adjusted for exchange rate effects, traditional business (excluding structured reinsurance) in property and casualty reinsurance is projected to deliver growth in reinsurance revenue (gross) in the mid-single-digit percentage range. Hannover Re anticipates a combined ratio below 87% in the Property & Casualty reinsurance business group in 2026.
Hannover Re expects a reinsurance service result of around EUR 925 million in the Life & Health reinsurance business group.
The return on investment should reach around 3.5%.
Achievement of the earnings guidance for 2026 is based on the premise that large loss expenditure does not significantly exceed the budgeted amount of EUR 2.3 billion and assumes that there are no unforeseen distortions on capital markets.
Hannover Re will publish its audited annual financial statement on 12 March 2026

Hannover Re is one of the world’s leading reinsurers. It transacts all lines of property & casualty and life & health reinsurance and is present worldwide with around 4,000 employees. German property & casualty business of the Hannover Re Group is written by the subsidiary E+S Rück. Established in 1966, Hannover Re is recognised as a reliable partner for innovative risk solutions, exceptional customer intimacy and financial soundness. The rating agencies most relevant to the insurance industry have awarded both Hannover Re and E+S Rück outstanding financial strength ratings: Standard & Poor’s AA- “Very Strong”; and A.M. Best A+ “Superior”.

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